

CHAPTER: 20

ISSUANCE OF SHARES

Bonus Issue –**Definition**

A **Bonus Issue** is the issue of additional shares by a company to its existing shareholders **free of cost**, in proportion to the shares they already own.

It is issued from the company's **reserves or retained earnings**, converting them into share capital.

Example:

If a company announces a **1:2 bonus issue**, a shareholder who owns **2 shares will receive 1 additional share** free.

Advantages of Bonus Issue

1. **Benefit to Shareholders**
Shareholders receive additional shares without paying any money.
2. **Increase in Market Liquidity**
The number of shares increases, making them easier to buy and sell in the market.
3. **Positive Signal to Investors**
It shows the company has strong reserves and financial stability.
4. **No Cash Outflow for Company**
The company can reward shareholders without paying cash dividends.
5. **Reduces Share Price**
Increasing the number of shares lowers the market price per share, making it more affordable for investors.

Disadvantages of Bonus Issue

1. **No Immediate Cash Benefit**
Shareholders receive shares instead of cash.
2. **Dilution of Earnings per Share (EPS)**
Since the number of shares increases, EPS may decrease.
3. **Higher Dividend Obligation in Future**
More shares mean the company may need to pay higher total dividends later.
4. **No Real Increase in Company Value**
The total value of shareholders' investment usually remains the same.

Rights Issue –**Definition**

A **Rights Issue** is the offer of new shares by a company to its **existing shareholders**, giving them the **right to buy additional shares before they are offered to the public**, usually at a **discounted price**.

Example:

If a company announces a **1:4 rights issue**, a shareholder can buy **1 new share for every 4 shares already owned**.

Advantages of Rights Issue

1. **Maintains Control of Existing Shareholders**
Current shareholders get the first opportunity to buy new shares.
2. **Lower Cost of Raising Capital**
It is cheaper than issuing shares to the public.
3. **Opportunity to Buy Shares at Lower Price**
Shares are usually offered at a discount.
4. **Quick Method of Raising Funds**
Companies can raise capital faster compared to public offerings.

Disadvantages of Rights Issue

1. **Need for Additional Investment**
Shareholders must invest more money to buy new shares.
2. **Dilution of Ownership**
If shareholders do not buy the rights shares, their ownership percentage may decrease.
3. **Possible Negative Market Signal**
Investors may think the company needs urgent funds due to financial problems.
4. **Share Price May Fall**
The market price may decrease after the issue due to increased supply of shares.

Nature of Reserves

A **Reserve (accounting)** is a portion of a company's **profits that is kept aside for future use** instead of being distributed to shareholders as dividends. Reserves strengthen the financial position of the company and help meet future needs or uncertainties.

Main Features / Nature of Reserves

1. **Created from Profits**
Reserves are made from the **net profits of a company** after all expenses and taxes.
2. **Used for Future Needs**
They are kept to meet **future expenses, losses, or expansion plans**.
3. **Not a Liability**
Reserves belong to the **owners (shareholders)** and appear under **shareholders' equity** in the balance sheet.
4. **Strengthens Financial Position**
Having reserves improves the company's **financial stability and creditworthiness**.
5. **May Be Used for Different Purposes**
Reserves can be used for **bonus shares, expansion, paying dividends in difficult times, or covering losses**.

Examples of Reserves

- **General Reserve**
- **Capital Reserve**
- **Revenue Reserve**

Identification and Reporting of Reserves in the Statement of Financial Position

In company accounting, **Reserve (accounting)** represents profits that are **retained in the business instead of being distributed as dividends**. These reserves are reported in the **Statement of Financial Position** under **shareholders' equity**.

Example Format

Statement of Financial Position (Extract)

Equity and Liabilities

Shareholders' Equity

- Share Capital
- General Reserve
- Capital Reserve
- Retained Earnings

Bonus share journal entries

Asset Revaluation reserve	DR	
Share premium	DR	
General reserves	DR	
Profit and loss account	DR	
Ordinary share capital		CR

Right share journal entries

Bank	DR	
Ordinary share capital		CR
Share premium		CR

Company Name Statement of changes in Equity For the year ended, 31st Dec 2007

	Ordinary Capital	Share Premium	General Reserve	Assets revaluation reserve	Retained Earnings
	\$000	\$000	\$000	\$000	\$000
Balance at start of the year	24	1	2	4	5
Issuance of shares	2	1			
Right issue	4	2			
Bonus issue	8	(4)	(2)		(2)
Current year profit					17
Assets revaluation reserve				2	
Interim ordinary dividend					(6)
	<u>38</u>	<u>0</u>	<u>0</u>	<u>6</u>	<u>14</u>

Q: 1

ABC Ltd.'s statement of financial position at 30 June 2006 was as follows:

	\$	\$
Non-current assets		500 000
Current assets		<u>165 000</u>
Total assets		<u>665 000</u>
Equity and Liabilities		
\$0.50 Ordinary Shares	200000	
General reserve	38000	
Profit and loss account	30000	
Share premium	<u>355000</u>	623 000
Add current liabilities		<u>42 000</u>
		<u>665 000</u>

The directors proposed to issue bonus shares on the basis of two bonus shares for every share already held, using reserves in such a way as to leave the remaining reserves in the most flexible form. The directors further proposed that following the bonus issue there would be a rights issue on a one for three basis at a premium of \$.25 per share.

REQUIRED:

- Prepare the statement of financial position of the company after the issuance of shares.
- Explain the difference between a bonus issue and a rights issue of shares.

Q: 2 R Limited is a retail company.

REQUIRED

(a) Explain the meaning of 8% debentures (2025–2026).

Additional information

The directors of R Limited provided the following information at 1 October 2021.

	\$000
Building at valuation	120
Retained earnings	315
Revaluation reserve	40
Share capital (ordinary shares of \$0.50 each)	1 200
Share premium	145

The following transactions took place during the year ended 30 September 2022.

- 31 December 2021 Paid a final dividend of \$0.06 per share.
- 31 March 2022 Made a rights issue of one ordinary share for every four shares held at a price of \$0.65. The issue was fully subscribed.
- 31 July 2022 Made a bonus issue of one ordinary share for every six shares held. The directors decided to leave the reserves in the most flexible form.
- 31 August 2022 Paid an interim dividend of \$0.04 per share.
- 30 September 2022 The building, which had originally cost \$80 000, was revalued to \$115 000.

The profit for the year ended 30 September 2022 was \$87 000.

REQUIRED

- (b)** Prepare the statement of changes in equity for the year ended 30 September 2022.
- (c)** Explain why dividends proposed at the end of a financial year are not shown in a company's statement of financial position.
- (d)** State three advantages and one disadvantage to a limited company of making a bonus issue of shares.

Q: 3

K Limited prepares annual accounts to 30 September. For the year ended 30 September 2018, the directors have calculated profit from operations of \$44 500. On 31 January 2018 they redeemed a 6% debenture of \$100 000 together with accrued interest to that date.

REQUIRED

- (a) Calculate the profit for the year ended 30 September 2018.

Additional information

The directors have provided the following extract from the statement of financial position at 1 October 2017.

Equity	\$
Ordinary shares of \$0.25 each	500 000
Share premium	175 000
Retained earnings	<u>540 000</u>
	1 215 000

The following information is also available:

1. On 31 December 2017, a rights issue of ordinary shares was made at a premium of \$0.15 per share on the basis of 2 ordinary shares for every 5 held on that date. The issue was fully subscribed.
2. On 31 March 2018, a bonus issue was made on the basis of 3 ordinary shares for every 5 held on that date. Reserves were maintained in the most flexible form.
3. On 30 June 2018, an interim dividend of \$0.05 per share was paid on all shares in issue on that date.
4. On 30 September 2018, buildings were revalued at \$1 200 000. The original cost of the buildings was \$1 000 000 and had been depreciated by \$150 000.

REQUIRED:

- (b) Prepare the statement of changes in equity for the year ended 30 September 2018.
- (c) State one difference between a capital reserve and a revenue reserve.